

Public Economics

Winter Term 2026/27

WU Vienna University of Economics and Business

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Course Description

This course studies the role of government in the economy: why and when the public sector should intervene in markets, and how public activity is financed and organised. The first part covers the theoretical and empirical tools of public economics, market failures (externalities and public goods), cost-benefit analysis, and political economy. The second part turns to taxation, budgets and deficits, fiscal federalism, and education. Throughout, the course combines economic theory with empirical evidence and applications to Austria and the European Union.

Textbook

Gruber, J. *Public Finance and Public Policy*. New York: Worth Publishers (latest edition).

Papers for Discussion

1. Benzarti, Y., et al. (2024). Can VAT Cuts and Anti-Profitsteering Measures Dampen the Effects of Food Price Inflation? *NBER Working Paper* No. 32241.
2. Bott, K. M., Cappelen, A. W., Sørensen, E. Ø., & Tungodden, B. (2020). You've Got Mail: A Randomized Field Experiment on Tax Evasion. *Management Science*, 66(7), 2801–2819.
3. Barr, A., Eggleston, J., & Smith, A. A. (2022). Investing in Infants: The Lasting Effects of Cash Transfers to New Families. *The Quarterly Journal of Economics*, 137(4), 2539–2583.

Date	Session	Topic	Reading
Module A: Foundations			
06.10.2026	1	Introduction: Why study public economics?	Ch. 1
13.10.2026	2	Theoretical and Empirical tools	Ch.2 and 3
Module B: Market Failure and Government Failure			
20.10.2026	3	Externalities	Ch. 5–6
27.10.2026	4	Public goods	Ch. 7
03.11.2026	5	Cost-benefit analysis	Ch. 8
10.11.2026	6	Political economy	Ch. 9
17.11.2026	–	Midterm exam (Modules A–B), 14:00–16:30	
Module C: Financing and Providing Public Services			
24.11.2026	7	Taxation: incidence, efficiency costs, and fairness <i>Paper discussion:</i> Benzarti et al. (2024)	Ch. 18–20 (sel.)
01.12.2026	8	Budget analysis and deficit financing <i>Paper discussion:</i> Bott et al. (2020)	Ch. 4
15.12.2026	9	Fiscal federalism: state and local government	Ch. 10
12.01.2027	10	Education: reasons for intervention, financing, and returns <i>Paper discussion:</i> Barr, Eggleston & Smith (2022)	Ch. 11
19.01.2027	–	Final exam 13:30–16:00	